Brazil Macro Monthly

Ukraine conflict intensifies inflationary shock

Highlights

- Rising commodity prices benefit the BRL, but uncertainties remain. We revised our 2022 yearend forecast to 5.2 reais to the dollar (5.7 before);
- High current inflation and a higher production costs worsened the outlook for the IPCA. We raised our forecast from 5.2% to 6.2% this year and from 3.25% to 3.80 in 2023. Instability in commodity markets raises considerably the uncertainty of those projections;
- We still see the Selic at 12.75% at the end of the tightening cycle, but we no longer see room for rate cuts this year;
- Brazilian economy grew above expectations in late 2021 and is expected to post further increase in early 2022. However, the likely weakening of domestic demand going forward and rising risks globally led us to keep the forecast of null variation for total GDP this year;
- Higher inflation may lead public sector to another primary surplus this year, helping to reduce the debt-to-gdp ratio. However, new tax breaks and subsidies are risks to be closely monitored.

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XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1,8	1,2	-3,9	4,6	0,0	1,2
Unemployment rate (% s.a., end of period)	12,1	11,5	14,7	11,7	11,0	10,4
IPCA (CPI, 12m, %)	3,8	4,3	4,5	10,1	6,2	3,8
SELIC rate (% p.y., end of period)	6,50	4,50	2,00	9,25	12,75	8,25
FX (USDBRL, end of period)	3,87	4,03	5,20	5,58	5,20	5,30
Primary fiscal balance (% GDP)	-1,6	-0,9	-9,5	0,7	0,2	0,1
Gross debt (% GDP)	75,3	74,3	88,8	80,3	78,8	80,9
Trade Balance (USD Bn)	46,6	35,2	50,4	61,4	66,3	44,4
Exports (USD Bn)	231,9	221,1	209,2	280,8	324,4	303,8
Imports (USD Bn)	185,3	185,9	158,8	219,4	258,1	259,4
Current Account (USD Bn)	-51,5	-65,0	-24,5	-28,1	-21,4	-40,4
Current Account (% GDP)	-2,7	-3,5	-1,7	-1,7	-1,2	-2,1
FDI (USD Bn)	78,2	69,2	44,7	46,4	55,0	65,0
FDI (% GDP)	4,1	3,7	2,9	2,9	3,0	3,4

Source: IBGE, BCB, Bloomberg, XP.

Foreword – A supply shock on an already unbalanced world

We have been pointing out that the challenge for global economic policy this year is to seek rebalancing. After two years focused on fighting the pandemic, the world faces with overheated aggregate demand and disrupted production chains. Inflation is on the rise almost everywhere.

In this sense, war in Ukraine – which intensifies the cost shock – has an even greater effect on the global economy than under "normal" circumstances. Central banks, especially in developed countries, cannot afford not to react, accepting higher inflation in the short term. The war could be the trigger for an even more persistent inflationary wave. Interest rates will have to rise.

Thus, the war could push the global economy into stagflation – high inflation with low economic activity.

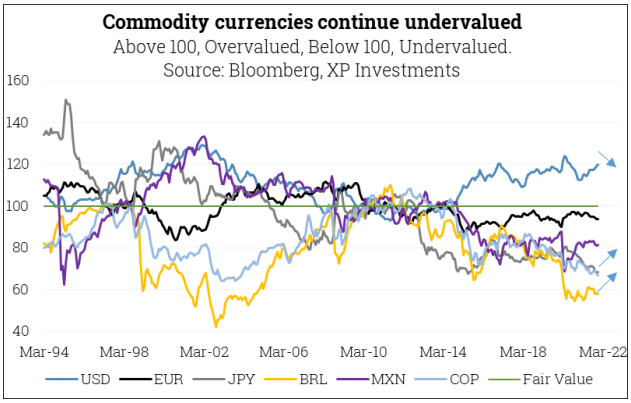
For Brazil, the global shock also means more persistent inflation, especially in food and energy. This will likely lead the Central Bank to keep interest rates high longer than expected, to ensure convergence to the target until 2024. We no longer see room for rate cuts this year.

The impact on exchange rate is ambiguous. On the one hand, rising commodities, high interest rates and the attractiveness of Brazil vis-à-vis other emerging markets such as Turkey and Russia may keep the BRL strengthening. On the other hand, the risks linked to the war, the monetary normalization in the US and the domestic fiscal uncertainties tend to keep the real detached from fundamentals.

We chose to adjust our exchange rate forecast to 5.2 reais per dollar for 2022 yearend (5.7 before). We do not rule out that the BRL gets stronger that that for some time, but we understand that the risks mentioned above will eventually weight on Brazilian assets' risk premium .

Global Backdrop: Russia-Ukraine conflict takes central stage

If there continues to be a material escalation in the Russia-Ukraine conflict, the world economy will likely enter a very challenging stagflation event. There would be a material increase in the risk of higher energy prices, especially impacting European countries that are heavily dependent on Russian natural gas. Oil prices can potentially reach $140 per barrel (in contrast with our current expectations of $90 per barrel at the end of 2022), leading to higher cost pressure and supply shocks. Consequently, cost-push inflation combined with a weakening economic activity would become a likely outcome worldwide. In the US, we believe that the Fed would start to react to the possibility of a recession in late 2022 or early 2023 and delay interest rates hikes to prolong monetary stimulus. In any case, we do not expect the Fed to raise rates above 2%.



Despite the increased risk to output, inflation pressure continues to rise in developed economies, and central banks will still have to tighten monetary policy. In the US, January headline CPI increased to 7.53% y/y, its highest level since 1982. We think inflation has reached its zenith in January (the previous expectation was December). In addition, the influence of the geopolitical conflict on inflation has not yet materialized. In light of recent developments, we now expect inflation to fall to 3.7% y/y by the end of 2022 (was 3.5% y/y), and the Fed to speed up the monetary tightening process slightly by hiking rates by 25 bps four times this year (was three) and three times next year (was four), finishing 2023 at 2%.

In Europe, headline CPI inflation increased to 5.8% y/y in January, reaching its all-time high. Moreover, PPI inflation rose to 30.6% y/y in January, which is likely to add further price pressures to consumers in the future. Still, we do not expect the ECB to increase interest rates this year, given that we believe that the transitory case for the region is stronger compared to the US.

In LatAm, major economies are set to benefit from the increased Russia/Ukraine conflict in the short term. Higher commodity prices are likely to improve terms-of-trade and the outlook for external accounts. The region has low foreign trade and direct financial/bank exposure to Russia and Ukraine, limiting the negative direct effect. Nevertheless, many Latam countries rely on the imports of fertilizers from both countries, potentially adding pressure to domestic agriculture output and international food prices.

Commodity currencies have shown impressive resilience since the beginning of the year and standard models continue to show that Latam currencies remain undervalued compared to fundamentals.

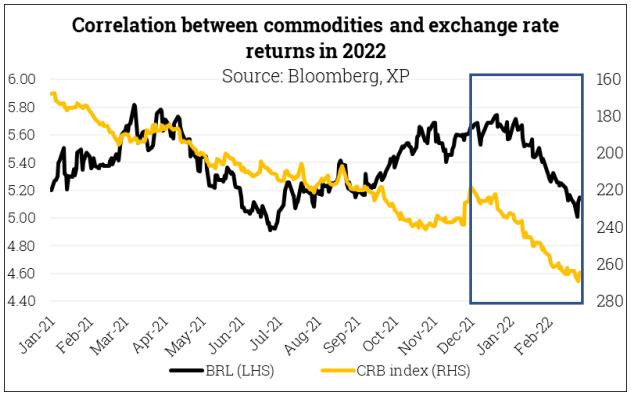
Nevertheless, a further escalation of the conflict would hamper Latam´s economic performance. Under this scenario, increased risk aversion tends to drive investors away from risky assets, leading to a deleterious environment for emerging markets.

Brazil: Ukraine conflict intensifies inflationary shock

External Sector – Higher commodity prices benefit the real, but uncertainties remain

The Brazilian real (BRL) has appreciated this year, standing out among emerging currencies. Even after the war in Ukraine began, the real remained resilient.

As we wrote recently, the fair value for the BRL would be around R$4.50, but we still believe it is soon to see a complete convergence to those levels. We do not rule out that the exchange rate will continue to strengthen in the short term. But we are still cautious that the currency will sustainably converge to those levels, considering rising global interest rates and domestic political and fiscal risks.

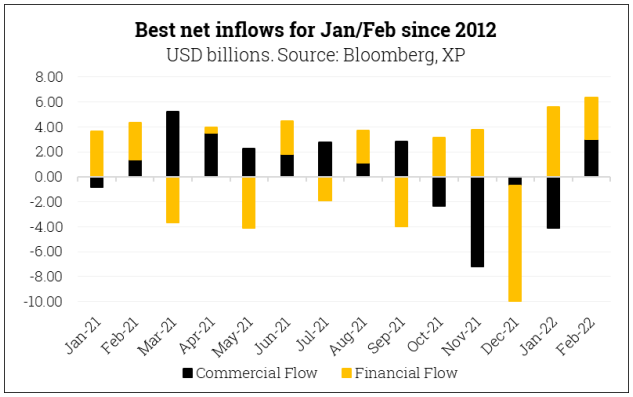


At the same time, we do not see pressures and risks for the BRL to return to 2021 levels (around R$5.70). In fact, Brazil can benefit from the current situation because:

i) The strong commodities appreciation benefited our external accounts. The CRB commodity index, measured in dollars, is up 8% on the year – after already appreciating 28% in 2021.

ii) Financial inflows stepped up this year, on the back of solid Balance of Payments figures.

iii) The worsening of the military crisis should drive capital flows away from Eastern Europe to other EM countries with broad financial markets, such as Brazil.



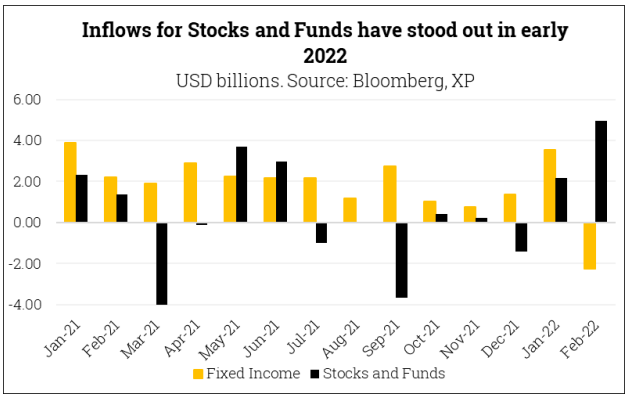
Considering these factors, we decided to reduce our 2022 exchange rate forecast to R$5.20 (from R$5.70), reducing the spread from the "fair" value, while keeping some risk premium.

For 2023, we maintained the exchange rate at 5.30 reais per dollar.

Balance of Payments: another positive year in 2022

We forecast a wider current account (CA) deficit this year, US$ 21.4 billion (1.2% of GDP) vs. US$ 14.7 billion before, due to transportation and remittances. Still, FDI inflows (3% of GDP) will comfortably finance the deficit. For 2023, we see a CA deficit of US$ 40.1 billion (2.1% of GDP) and FDI inflows at USD 65 billion (3.1% of GDP).

For the trade balance, we project a surplus of US$ 66.6 billion this year. Although our revision of the balance was small (about BRL 2 billion), our calculations point to exports and imports at higher levels, mainly due to the price effect. In 2023, we project a decline in the balance to USD 44.4 billion.

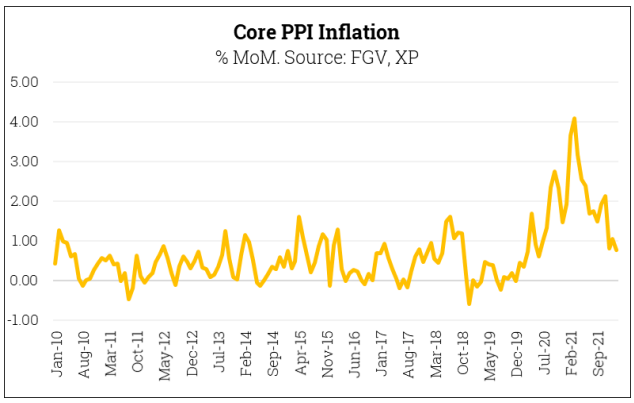


Inflation – We raised our IPCA forecast to 6.2% in 2022 and 3.8% in 2023

The upward results of the first two months and the expressive increase in commodities – boosted by the war in Ukraine – significantly worsened the outlook for inflation this year. Currency appreciation, tax

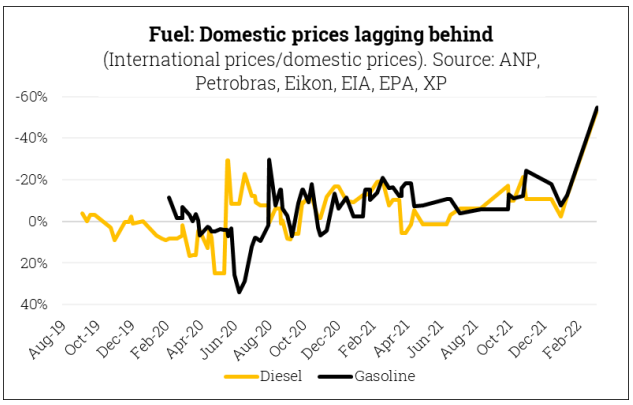
cuts, and electricity deflation due to the better water scenario help a little but do not prevent a worsening in projections.

February's inflation preview made us revise our short-term forecasts upwards, mainly on industrialized products. Despite the devaluation and slowdown in demand in the period, the rising price dynamics of industrial goods was the main driver for these increases. Producer prices continue to grow and should continue to pressure consumer prices (Graph).



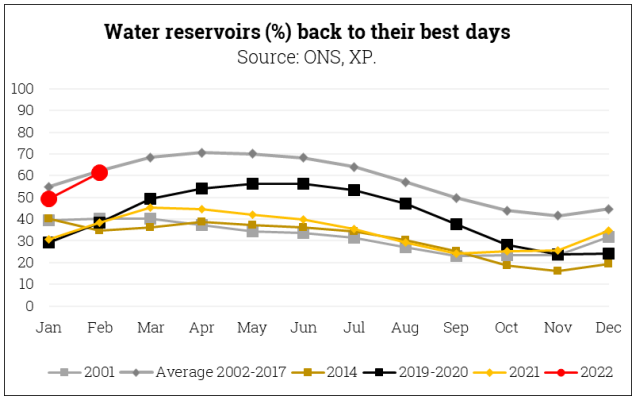
Drought in southern Brazil puts pressure on food inflation. Another factor contributing to the rise in prices was the drought in the south of the country and our neighbors Argentina and Paraguay. The fall in the forecast for the summer harvest of corn, soybeans, and wheat resulted in higher prices for these commodities and impacted animal proteins.

The war in Ukraine has fueled the rise in commodities, turning rising inflation expectations inevitable. Agricultural commodity prices, which had been on an upward trend since the beginning of the year, rose even more after the start of the conflict, accumulating a high of 10% (as measured by the CRB). Brent oil is already up 45% in the year, and although the exchange rate has helped mitigate part of the inflationary effect, the net impact was still upward. We incorporated a 10% rise in the price of agricultural and metallic commodities in our inflation forecasts (previously with stability), in addition to raising the average oil price from 85 to 105 dollars a barrel (Chart).



With the crop failure and the war, we raised our food at home forecast for 2022 from 4.7% to 7.9%, and industrialized goods from 4.6% to 5.8%. The cost pressures in the industrialized goods chain remain high and with the prospect of worsening, which led us to raise the group's variation projection to 5.8%, previously at 5%, even considering the 25% cut in tax rates. IPI (which should have a marginal effect, given that companies must take advantage of it to recover margins).

The increase in Brent oil price raises our forecast for gasoline from 5% to 7% and for diesel from 5% to 6%. These variations already consider our new exchange rate projection (5.2 reais per dollar against 5.7 before) and the effect of the fuel tax reduction measures in progress in the National Congress.

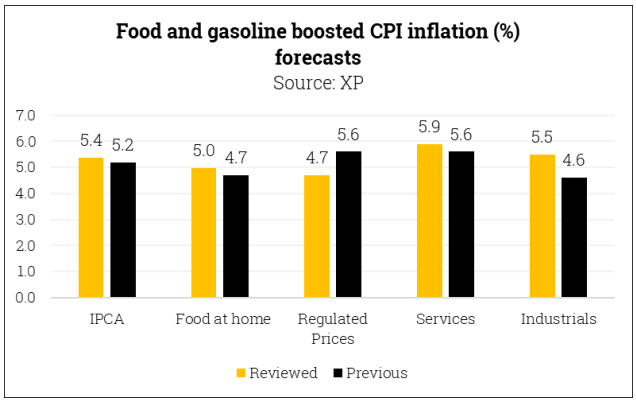


On the other hand, we revised our electricity forecast from -6.1% to -9.25% due to the change in the tariff flag for the year-end (from red 1 to yellow). The recovery of reservoir levels and shutdown of thermoelectric plants in recent months significantly improved the hydroelectric situation for the year.

All in, we have raised our IPCA forecasts from 5.2% to 6.2% in 2022.

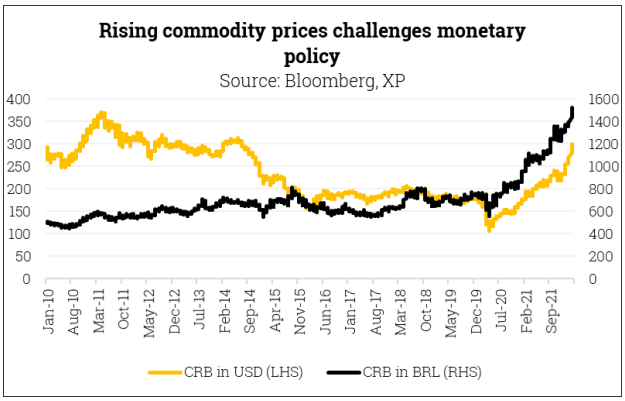
For 2023, pressure arises from greater inertia and rising expectations. The 1pp increase in our 2022 inflation forecast causes an inertial impact of 0.18% in 2023. In addition, expectations, which had already been rising for the period, should continue to grow as fundamentals deteriorate.

Thus, we raised our IPCA inflation forecast for next year from 3.25% to 3.80%.



The still very uncertain international scenario increases inflationary risk. Suppose Brent oil prices stay above 120 dollars per barrel, and Petrobras passes on the high costs to the consumer, and the real depreciates against the dollar, returning to the 2021 end-year level. In

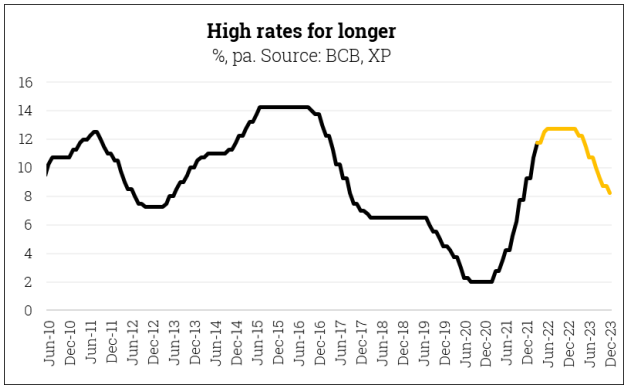
that case, we estimate that inflation could be close to 8% in 2021 and 4,5% in 2023, as shown in this report published on March 5th (include link).



Monetary Policy – High interest rates for longer

Unlike most countries in the world, the Central Bank of Brazil (BCB) has already taken its monetary policy to a restrictive level. Even before the war in Ukraine, BCB was signaling further interest rate hikes in the coming months.

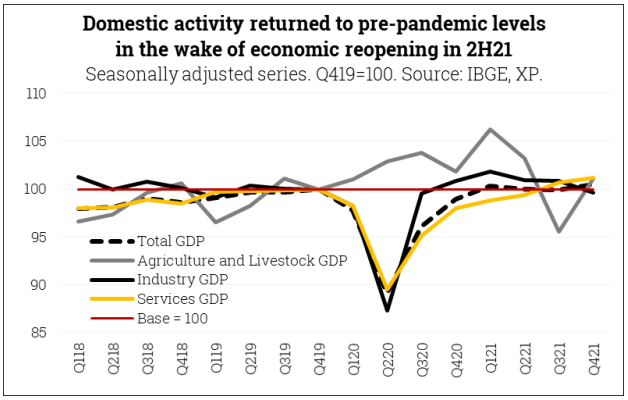
Thus, we believe the war will not change the BCB's flight plan regarding the terminal interest rate, even if this worsens the inflation outlook. The monetary authority is more likely to read it as a supply shock, accepting higher inflation for some time. Thus, we keep our forecast that the Selic rate will peak at 12.75%.



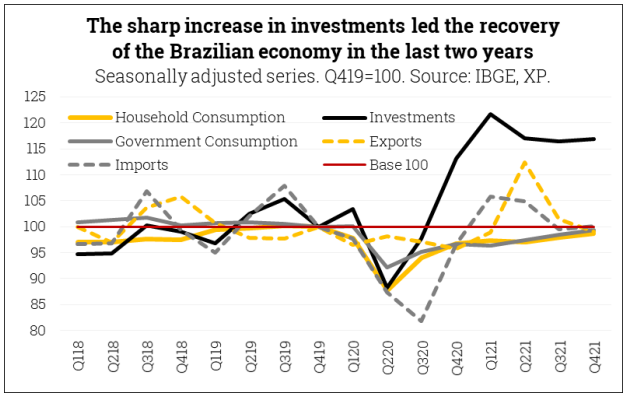
On the other hand, the renewed rise in costs should require greater persistence of monetary policy to ensure the convergence of inflation to the target path. We now believe that it will take longer for the BCB to find room for cut rates. In our previous scenario, the easing cycle would start in December of this year. We postponed it to the first quarter of 2023.

Therefore, we adjusted our forecast for the Selic rate at the end of 2023 from 7.50% to 8.25%. The 7.50% level, which we consider neutral, should only be reached in 2024.

Economic Activity – Between signs of relief and emerging risks



Brazil's GDP expanded by 0.5% QoQ in Q421 and 4.6% in the full-year 2021, above market expectations. The domestic economy resumed growth in the last quarter, ending a streak of two moderate declines in a row. On the supply side, the continued advance of most service segments – in the wake of the economic reopening – coupled with the rebound of agriculture and livestock activities more than offset the further contraction of the industrial sector. On the demand side, the expansion in domestic absorption (household consumption, government consumption and investments advanced in Q4) overshadowed the negative contribution from the external sector. The positive figures recorded in late 2021 imply a statistical carry-over effect of 0.3pp to 2022 GDP growth.



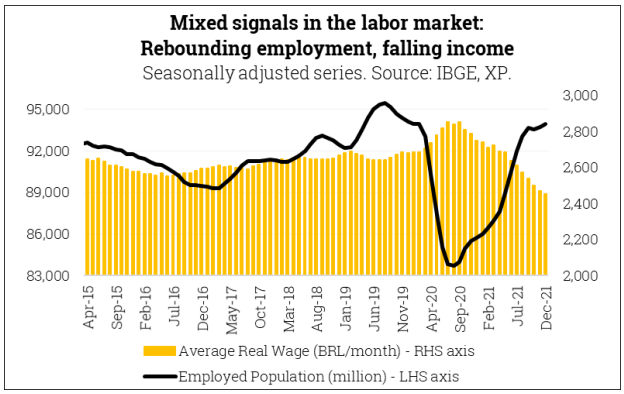
Domestic activity is expected to grow further in early 2022. Our high-frequency tracker for Q122 GDP growth currently stands at 0.4% QoQ (0.9% YoY). Among the factors that should keep GDP positive in the short term, we highlight: (I) the expansion in employed population, which provides some support to the private consumption; (II) the increase of public investments, mainly driven by state governments; (III) the favorable prospects for activities less sensitive to the economic cycle, such as agriculture (despite lower soybean production) and extractive industries (especially oil and gas); and (IV) remaining benefits for some service segments stemming from the normalization of the household consumption pattern.

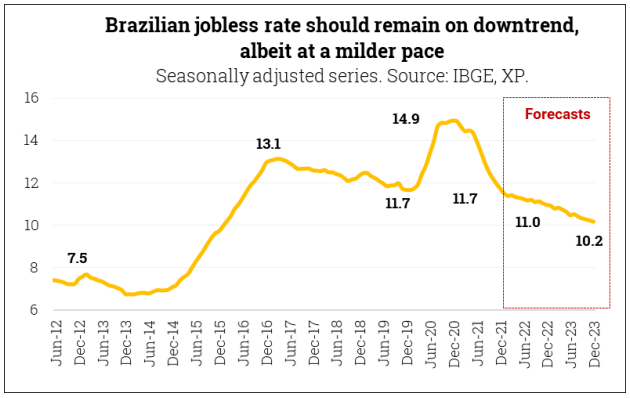
For the coming quarters, however, we continue to expect domestic activity to cool down. Falling average wage, persistently high inflation, and lagged effects of monetary policy tightening should interrupt the upward path of total GDP observed in the recent period. In this regard, we note the downward trend shown by most business and consumer confidence indexes in the recent period.

All things considered; we have not changed the expectation of a flattish GDP in 2022.

That said, we see relevant upside and downside risks to that projection. On the one hand, the larger statistical carry-over effect from late 2021 GDP, the even stronger performance of commodity exporting sectors, and the signaling of further government stimulus measures (e.g., credit supply for micro and small companies; release of new FGTS[1] withdrawals; cut in industrial tax – IPI, acronym in Portuguese – for most products) impart a positive bias to our forecast of GDP stability this year. On the other hand, the major escalation in the Ukraine-Russia crisis puts pressure on production costs and worsens financial conditions, potentially weighing on the domestic economy. Thus, we adopt a cautious stance and await more information about the military conflict to better assess the net impact on 2022 GDP.

Finally, we reiterate the forecast of a 1.2% expansion for 2023 GDP. This expectation incorporates the easing of monetary policy next year and the maintenance of the fiscal framework that seeks the long-term sustainability of the public debt.





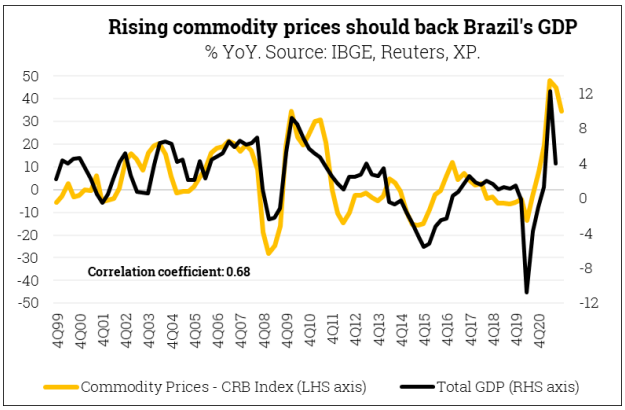
Fiscal – Higher inflation may lead to positive results this year

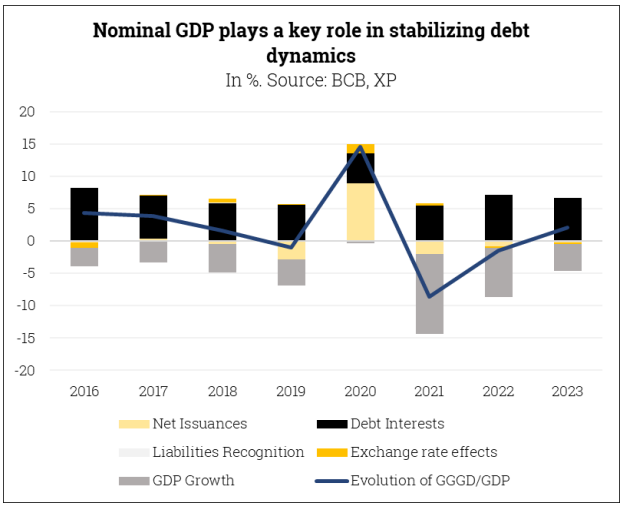
January's fiscal prints reached all-time highs. The collection of federal taxes grew 18.3% in real terms and reached R$ 235.3 billion in January, supported by income from IRPJ and CSLL. The Central Government primary balance reached a surplus of R$ 76.5 billion, the highest in the recorded series, causing the 12 month aggregated result to reach neutral fields. Finally, the public sector recorded a surplus of R$ 101.8 billion, the highest for the month in the recorded series, leading to an accumulated surplus of R$ 1.2% of GDP.

The rise in prices supports a higher collection in the short term. The rise in commodities due to the conflict in Ukraine would pressure domestic inflation, which should positively impact government revenues. In particular, the change in oil prices will lead to significant growth in revenue from royalties and special participation and dividends.

Nevertheless, tax breaks would reduce revenue gains. Recently announced tax cuts on IPI rates in all products (except tobacco) and a possible tax exemption in PIS/COFINS for diesel will decrease collection in current and next years.

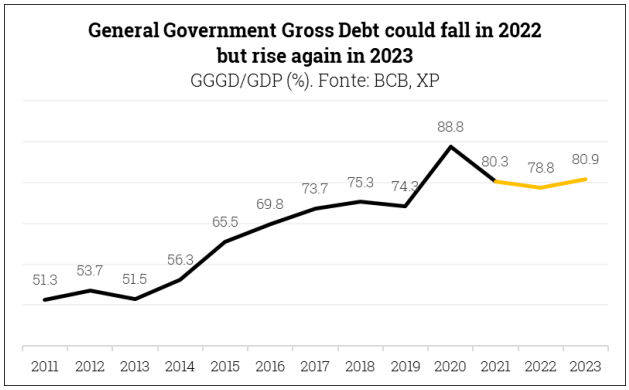
Impact of the measures included in our scenario			
Measure	**Total**	**Union**	**E&M**
Tax cuts on IPI	18.6	7.6	11.0
Tax exemption on diesel	19.1	19.1	0
Total	**37.7**	**26.7**	**11.0**





[1] The Brazilian Government Severance Indemnity Fund for Employees.

Public Sector should show a new surplus in 2022. We believe that, even with the announcement of some readjustments to civil servants and the increase in expenses related to the electoral cycle, the high collection should support the results of regional governments, which will finish the year with a surplus close to 0.5%. Thus, the public sector, which also includes state-owned companies, should end the year with a surplus of 0.2% of GDP.



Public debt may fall in 2022. Besides the better print for the general government, a higher in GDP deflator (much above consumer price index) will lead to a "gain" via an increase in the denominator of the DBGG/GDP ratio – as also occurred last year.

However, there are relevant risks on the horizon. A longer-lasting war in Ukraine could lead to a cycle of higher inflation in Brazil, forcing the Central Bank to raise interest rates further than currently expected. Additionally, sanctions imposed by the West have resulted in a reduction in world economic activity, with adverse effects on the domestic economy. In both cases, public debt would be affected.

In addition, as oil prices remains very high, we do not rule out new exemptions or subsidies for fuels and gas. If the government decides to promote a fuel subsidy in order to contain the pass-through of international prices to the domestic market, every 1% price difference should cost R$ 0.3 billion per month. Given the significant volatility of oil prices, it is estimated that the monthly cost would be between R$8 and R$13 billion. We believe that this measure may be implemented by extraordinary credit, therefore it would be outside of the spending cap (but would negatively impact the primary result)

Higher inflation will result in higher spending in 2023. Our baseline scenario for inflation implies that expenses subject to the cap may be increased by up to R$104 billion next year. However, due to the budget's high indexation, much of this additional room will already be occupied.

Despite better results, the fiscal structural problem continues. The improvement in the primary balance and the reduction in indebtedness this year are mainly due to conjunctural factors. This means that, with the normalization of the economy in the future, the trend of public debt growth will manifest itself again (as shown by our projections below). Thus, measures that reduce revenues or increase expenses in a structural fashion should be avoided as they can further worsen this trend.

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FDI (% GDP)	4,1	3,7	2,9	2,9	3,0	3,4

Source: IBGE, BCB, Bloomberg, XP.

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